

Larsen & Toubro Ltd (LT)

Sector: Industrials

ROE

77.7%

ROCE

118.5%

D/E

0.10x

OPM

13.5%

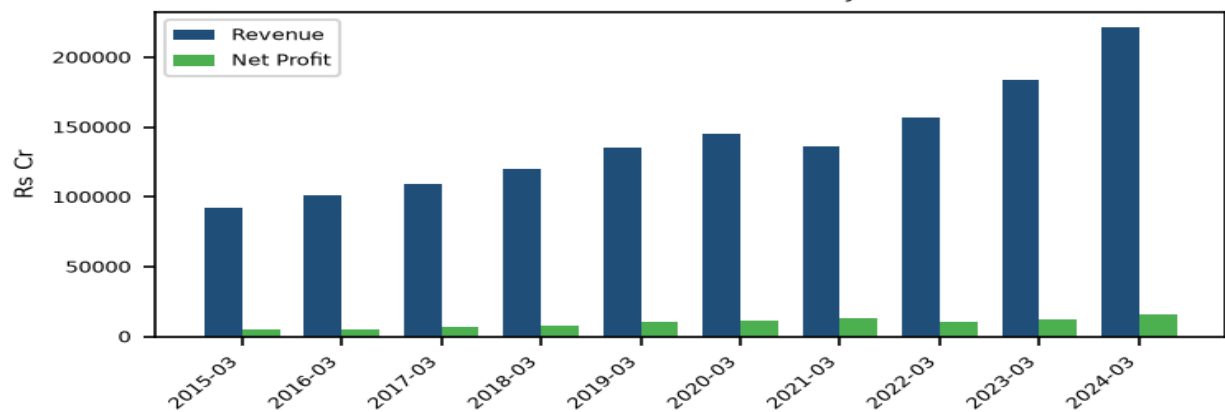
Revenue CAGR 5yr

10.3%

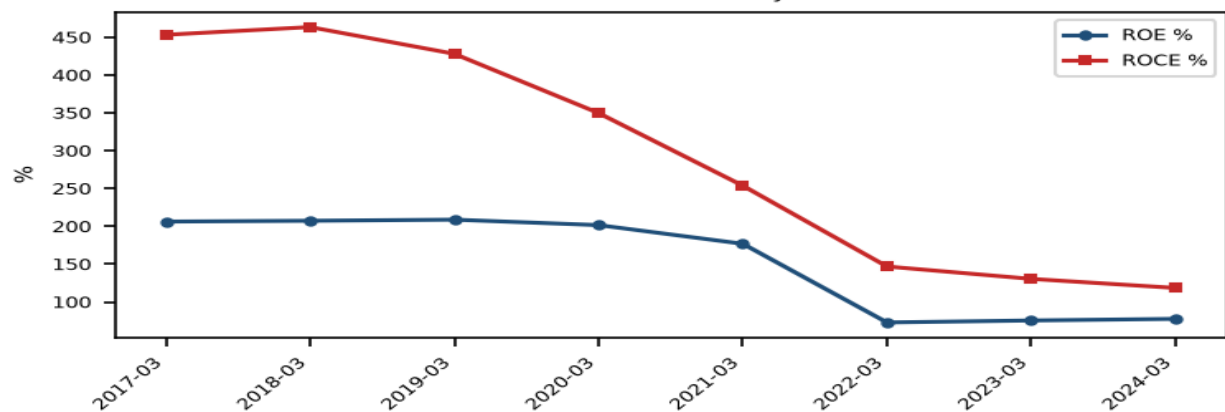
Free Cash Flow

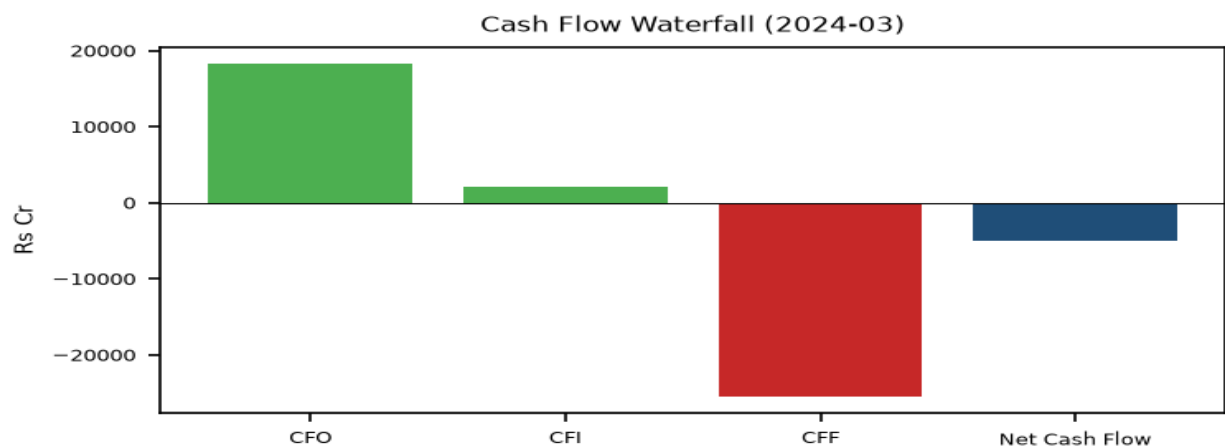
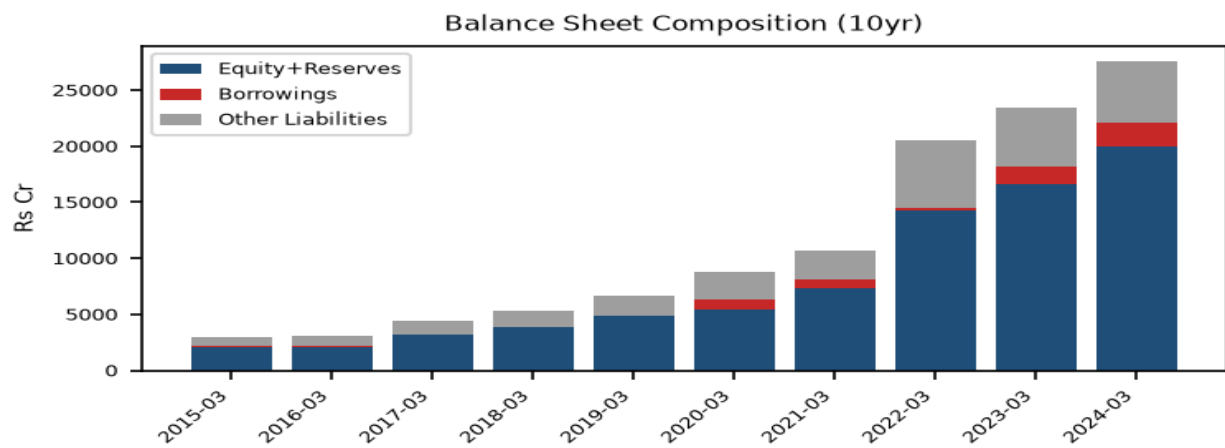
Rs 20,445 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Liquidating Assets